TECHNOLOGY | INFORMATION TECHNOLOGY SERVICES

Infosys Limited

NSE: INFY | Yahoo: INFY.NS

HOLD: target Rs 1,334, +12.6% from Rs 1,185

RATING

◆ HOLD

Conviction: Medium

Target Rs 1,334 | CMP Rs 1,185

CURRENT PRICE **Rs 1,185** +3.36% on the day	12-MONTH TARGET **Rs 1,334** 3 method(s) blended
UPSIDE / DOWNSIDE **+12.6%** to target	COMPOSITE SCORE **70/100** six pillars
MARKET CAP **Rs 4,79,970 cr** NSE listed	STREET VIEW **Buy** 42 analysts

Summary

We arrive at a 12-month target price of Rs 1,334 for Infosys Limited, a blend of relative P/E, discounted cash flow and street consensus. This implies +12.6% from the current market price of Rs 1,185. Re-rating capped: the history and peer anchor of 22.8x is more than 1.25x the current 15.2x, so 18.9x is used. The stock scores 70 out of 100 on our six-pillar scorecard; the strongest pillar is Quality (100) and the weakest is Growth (41). Rating: HOLD with medium conviction. MODEL

Investment rationale (data-backed)

+ Return on equity of 31.6% in FY26 is strong.
+ Net cash balance sheet (net debt to equity of (0.14)x).
+ Profits convert to cash: operating cash flow averaged 1.20x of net profit over the last three years.
+ Trades at 15.2x trailing earnings, a 26% discount to its own FY-end median of 20.6x.
+ Institutions hold 70.3% (FII 27.4%, DII 42.9%) as of 30-Sep-2026.

Key risks and concerns

- Price trend is down: the stock is below its 200-day average (Rs 1,215) and the 50-day average is below the 200-day.
- Fell as much as 40.4% from a peak in the last year.
- Promoter holding is low at 13.9% as of 30-Sep-2026.

How the rating was reached

1. Upside of 12.6% to the blended target gives a base rating of HOLD (BUY at 15% or more, SELL below -5%).

2. Composite score of 70 does not trigger a score gate.
3. Conviction is Medium.

Company profile

Infosys Limited provides consulting, technology, outsourcing, and digital services worldwide. The company offers insight services, such as applied and generative AI, sustainability services, and Infosys Topaz, an AI-first set of services, solutions, and platforms; blockchain, Internet of Things, and engineering services; cybersecurity and quality engineering services; and enterprise agile DevOps, API economy and microservices, application modernization, and digital process automation. It also provides digital supply chain, Microsoft business application services, Microsoft cloud business, Oracle, SAP, service experience transformation, Salesforce, energy transition, network transformation services, infrastructure services, global capability center, and Infosys Cobalt, a suite of services, solutions, and platforms. In addition, the company offers experience services, including digital ...

KEY STOCK DATA

NSE / BSE symbol	INFY.NS
BSE code	500209
Sector	Technology
Peer group	IT Services
Shares outstanding (cr)	405.0
Market cap (Rs cr)	4,79,970
3-m avg daily value (Rs cr)	1,259
52-week high / low	Rs 1,728 / Rs 980.4
Beta vs Nifty (1 yr)	0.77
Dividend yield	4.2%
Nifty 50 / Sensex	23,053 / 74,460
Last results board meeting	23-Oct-2026

PRICE PERFORMANCE (%)

Period	Absolute	Rel. to Nifty
1 month	19.2%	17.3%
3 months	2.6%	7.8%
6 months	2.4%	6.4%
12 months	(19.0)%	(8.0)%
3 years	(6.6)%	(27.1)%

SHAREHOLDING (%)

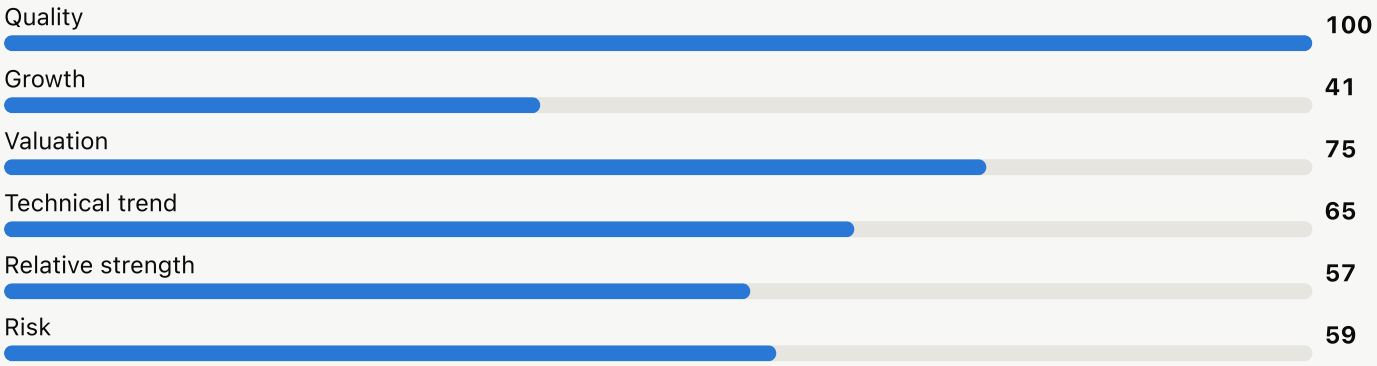
Promoter and group	13.90
FII / FPI	27.44
DII	42.85
of which mutual funds	22.96
Public and others	15.59
Promoter shares pledged	0.00

NSE shareholding pattern as of 30-Sep-2026. Pledge is a share of the promoter holding. Promoter holding was 14.55% on 04-Dec-2025.

OUR TARGET VS STREET

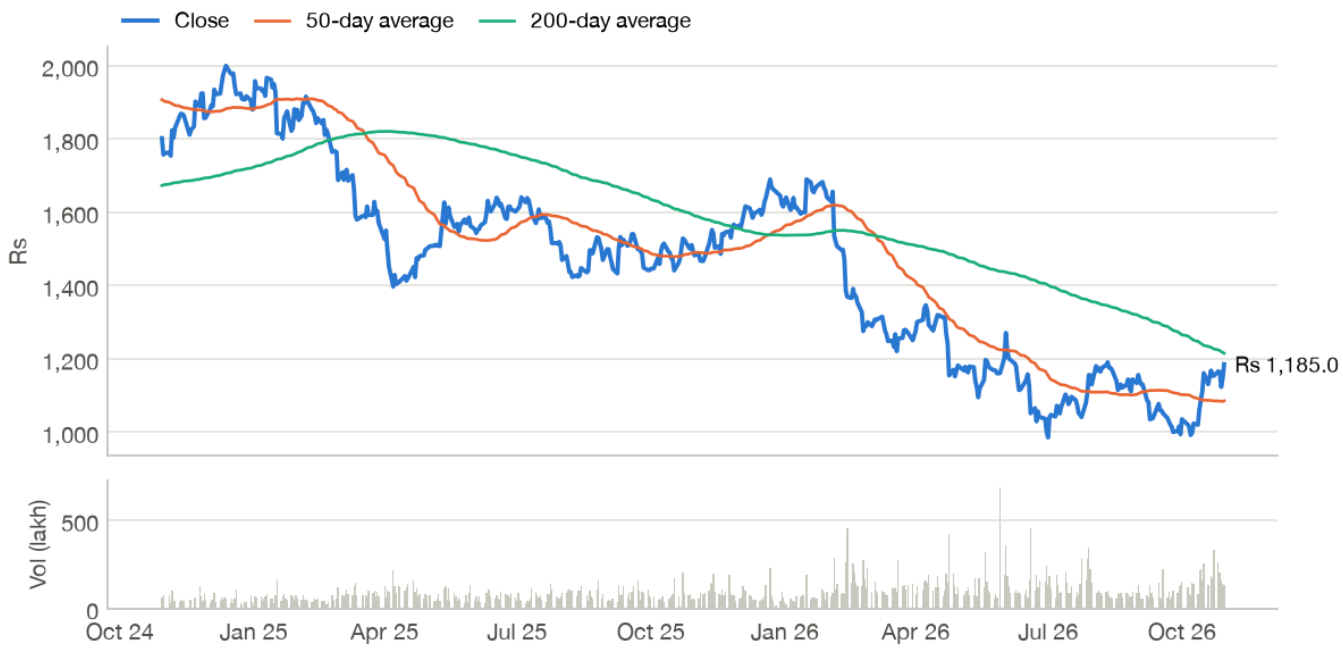
Our target	Rs 1,334
Consensus mean	Rs 1,200
Difference	+11.2%
Consensus range	Rs 990.0 to Rs 1,627

SCORECARD



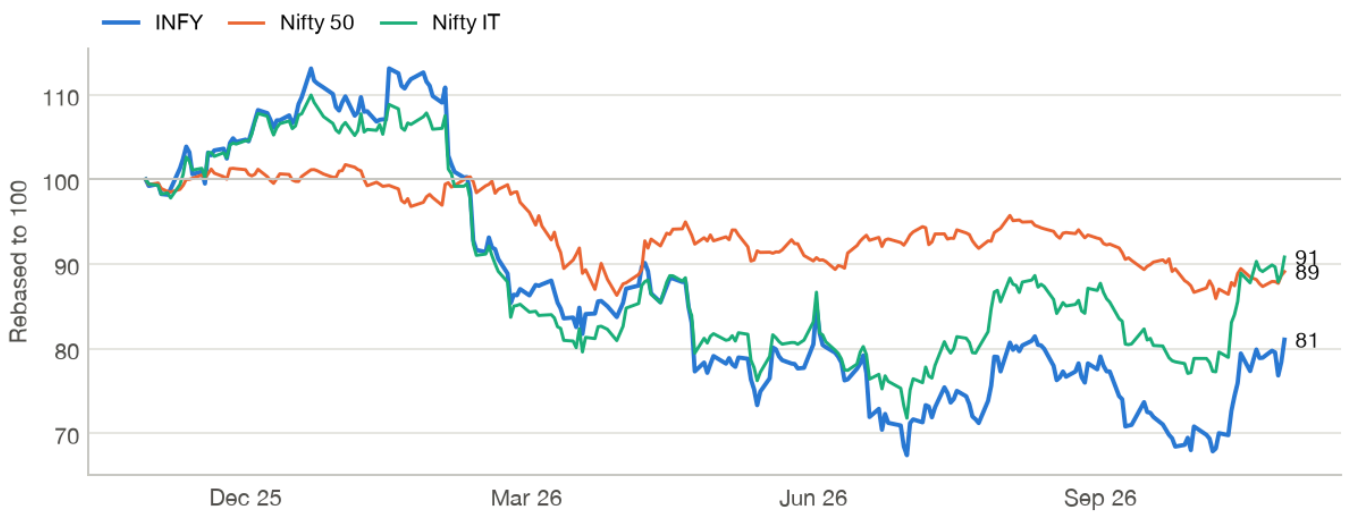
Price action

Exhibit 1: Price with 50-day and 200-day moving averages (2 years)



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 2: 12-month performance rebased to 100 vs Nifty 50 and Nifty IT



Source: Yahoo Finance; Bharat Stock Analyser

Quarterly performance

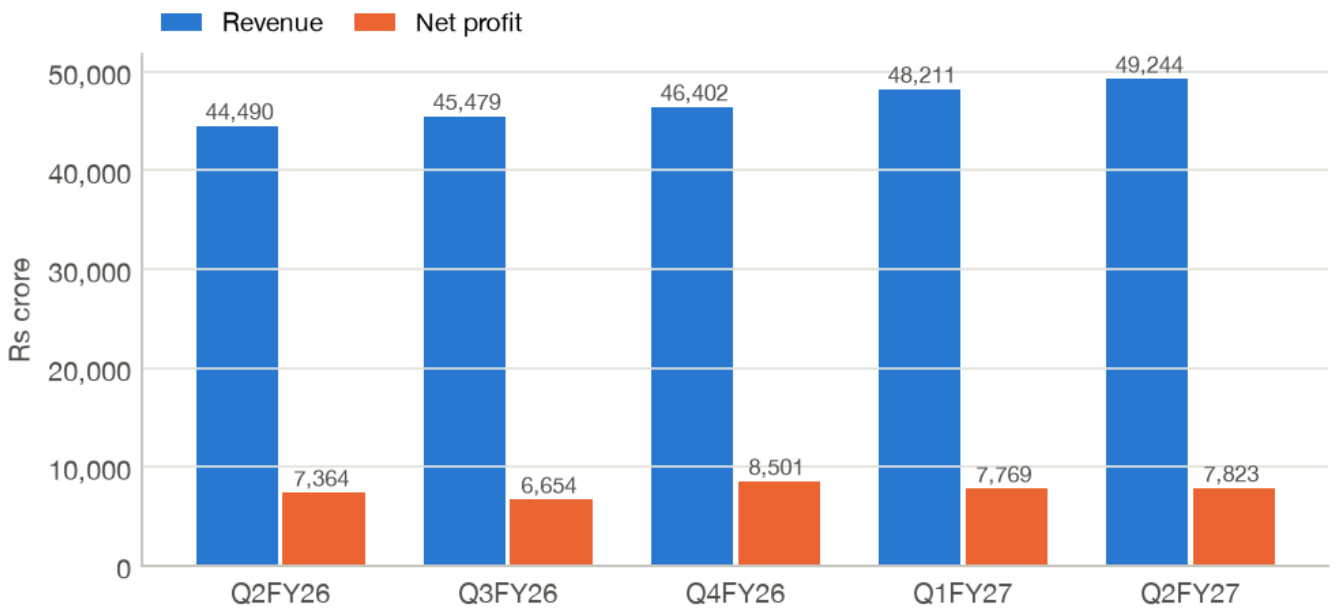
Exhibit 3: Quarterly snapshot: Q2FY27

Rs crore	Q2FY27	Q1FY27	QoQ	Q2FY26	YoY
Revenue	49,244	48,211	2.1%	44,490	10.7%
EBITDA (excl. other income)	11,689	11,409	2.5%	10,535	11.0%
EBITDA margin (%)	23.7	23.7	7bps	23.7	6bps
Depreciation	1,359	1,246	9.1%	1,182	15.0%
Interest	115.0	119.0	(3.4)%	106.0	8.5%
Other income	848.0	984.0	(13.8)%	982.0	(13.6)%
PBT	11,063	11,028	0.3%	10,229	8.2%
Tax	3,225	3,253	(0.9)%	2,854	13.0%
Net profit incl. minority interest	7,838	7,775	0.8%	7,375	6.3%
Net profit to owners	7,823	7,769	0.7%	7,364	6.2%
Net profit excl. one-offs	7,823	7,769	0.7%	7,364	6.2%
Net margin (%)	15.9	16.1	(23)bps	16.6	(67)bps
EPS excl. one-offs (Rs)	19.31	19.18	0.7%	18.18	6.2%

Sources: Q2FY26, Q3FY26, Q4FY26, Q1FY27, Q2FY27 from NSE results filings (consolidated XBRL).

Source: NSE filings; Bharat Stock Analyser

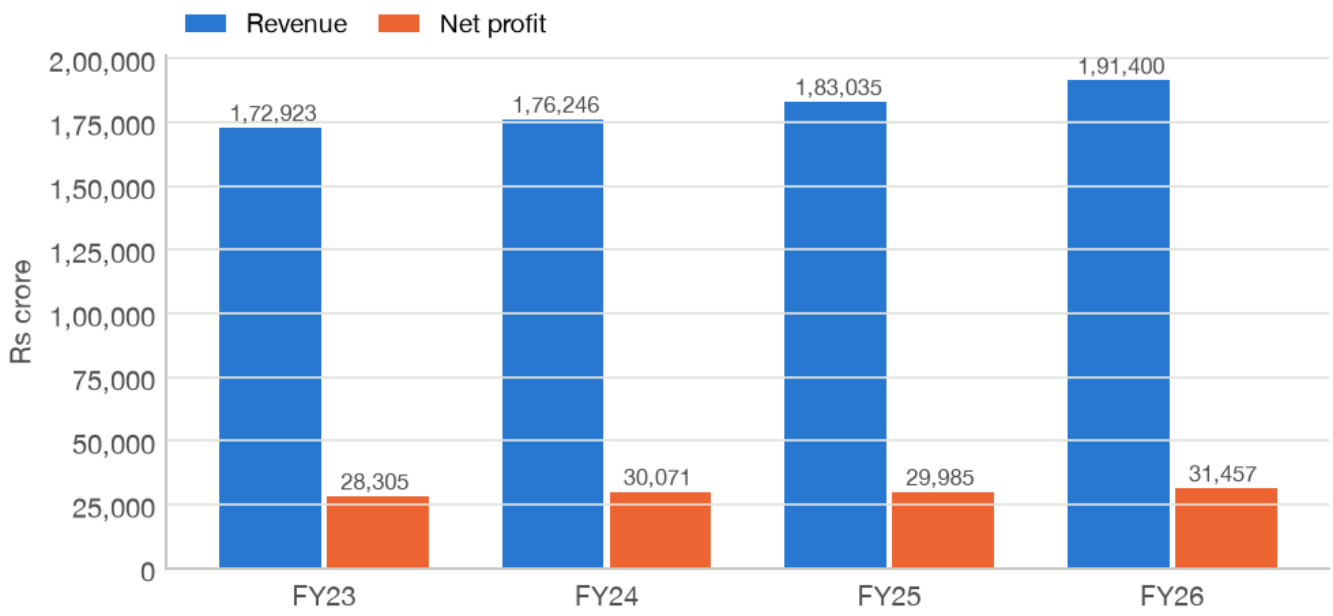
Exhibit 4: Revenue and net profit, last five quarters (Rs crore)



Source: NSE filings; Bharat Stock Analyser

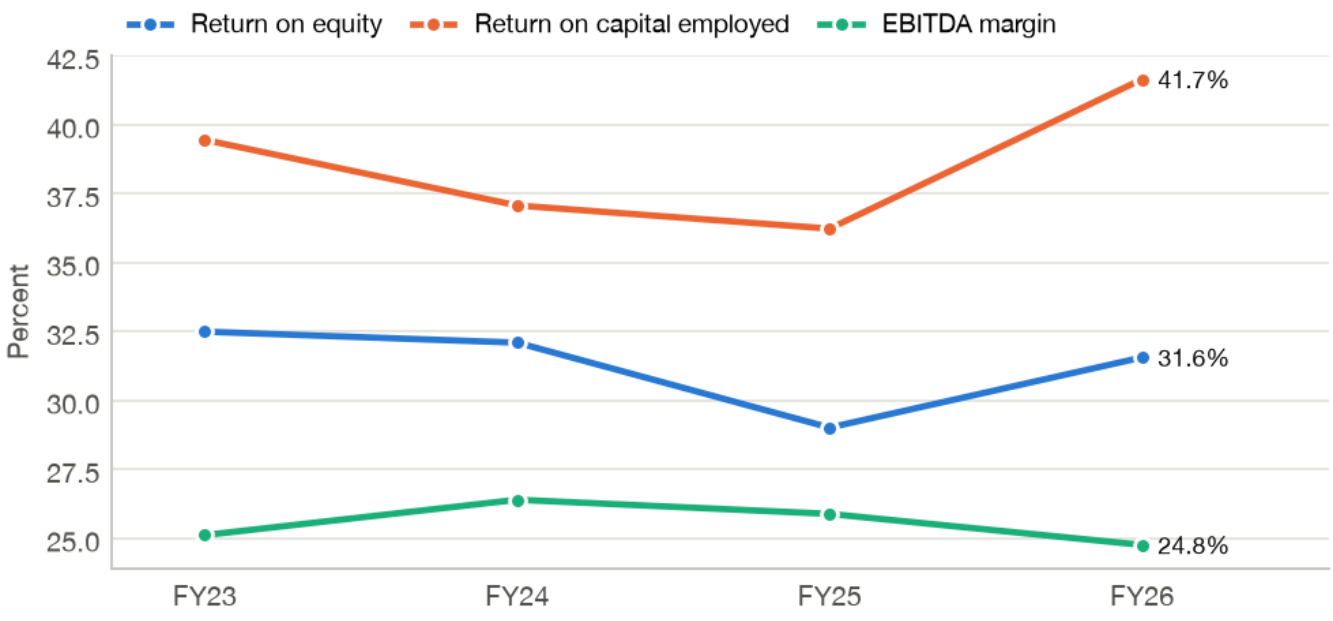
Financial summary

Exhibit 5: Revenue and net profit (Rs crore)



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 6: Return ratios and margins (%)



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 7: Profit and loss account (Rs crore), year ending March

Year end	FY23	FY24	FY25	FY26
Revenue	**1,72,923**	**1,76,246**	**1,83,035**	**1,91,400**
Growth (%)	*-*	*1.9%*	*3.9%*	*4.6%*
EBITDA (excl. other income)	**43,440**	**46,535**	**47,390**	**47,399**
EBITDA margin (%)	*25.1%*	*26.4%*	*25.9%*	*24.8%*
Other income	379.8	227.9	142.4	161.4
Depreciation	4,975	5,365	5,403	5,241
EBIT	39,499	41,797	42,690	43,231
Interest	332.3	531.7	465.3	446.3
Profit before tax	39,167	41,265	42,224	42,784
Tax	10,843	11,176	12,201	11,299
Net profit incl. minority interest	28,324	30,090	30,023	31,485
Net profit to owners	**28,305**	**30,071**	**29,985**	**31,457**
Growth (%)	*-*	*6.2%*	*(0.3)%*	*4.9%*
One-off items, pre-tax (estimated)	655.2	398.8	560.2	911.5
Net profit excl. one-offs	27,831	29,780	29,587	30,786
EPS reported (Rs)	69.88	74.24	74.03	77.66
EPS excl. one-offs (Rs)	68.71	73.52	73.05	76.01
DPS (Rs)	39.78	41.66	56.64	50.00
Dividend payout (%)	56.9%	56.1%	76.5%	64.4%

Source: Company filings via Yahoo Finance; Bharat Stock Analyser calculations

Exhibit 8: Balance sheet (Rs crore), year ending March

Year end	FY23	FY24	FY25	FY26
Shareholders' funds	**87,088**	**1,00,258**	**1,06,391**	**92,918**
Total debt	9,590	9,514	9,134	9,182
Cash and equivalents	14,062	16,835	27,165	22,228
Net debt	**(4,472)**	**(7,321)**	**(18,031)**	**(13,046)**
Current liabilities	45,282	44,161	47,589	52,374
Capital employed	1,00,106	1,12,725	1,17,804	1,03,780
Receivables	29,378	34,372	34,609	35,274
Payables	4,463	4,501	4,624	4,747
Total assets	**1,45,387**	**1,56,886**	**1,65,393**	**1,56,155**

Source: Company filings via Yahoo Finance; Bharat Stock Analyser calculations

Exhibit 9: Cash flow statement (Rs crore), year ending March

Year end	FY23	FY24	FY25	FY26
Cash flow from operations	**27,089**	**29,890**	**41,313**	**38,350**
Capital expenditure	(3,029)	(2,526)	(2,497)	(2,905)
Free cash flow	**24,060**	**27,365**	**38,816**	**35,445**
Cash flow from investing	(2,070)	(6,722)	(3,428)	94.9
Cash flow from financing	(31,220)	(20,091)	(27,298)	(42,585)
Dividends paid	(16,113)	(16,873)	(22,940)	(20,253)

Source: Company filings via Yahoo Finance; Bharat Stock Analyser calculations

Exhibit 10: Financial ratios, year ending March

Year end	FY23	FY24	FY25	FY26
Return on equity (%)	32.5%	32.1%	29.0%	31.6%
Return on capital employed (%)	39.5%	37.1%	36.2%	41.7%
Return on assets (%)	19.5%	19.9%	18.6%	19.6%
Net margin (%)	16.4%	17.1%	16.4%	16.4%
Asset turnover (x)	1.19x	1.17x	1.14x	1.19x
Leverage factor (x)	1.67x	1.61x	1.56x	1.61x
Net debt / equity (x)	(0.05)x	(0.07)x	(0.17)x	(0.14)x
Interest cover (x)	118.9x	78.6x	91.8x	96.9x
CFO / net profit (x)	0.96x	0.99x	1.38x	1.22x
Receivable days	62	71	69	67
Payable days	13	13	13	13
Book value per share (Rs)	215.01	247.53	262.67	229.41
FY-end P/E excl. one-offs (x)	20.8x	20.4x	21.5x	16.5x
FY-end P/B (x)	6.64x	6.05x	5.98x	5.45x

Source: Company filings via Yahoo Finance; Bharat Stock Analyser calculations

EPS, DPS and book value per share are calculated on the current share count so that they stay comparable across bonus issues and splits. Return ratios use average equity and assets where two years are available.

Valuation

Exhibit 11: Target price build-up

Method	Key inputs	Value (Rs)	Weight
Relative P/E	Trailing EPS: Rs 78.21 (four quarters to Q2FY27, excluding one-offs) Forward EPS (12m): Rs 79.90 (consensus forward EPS) Own FY-end P/E median: 20.6x Peer median P/E: 25.0x Current P/E: 15.2x Target P/E applied: 18.9x (capped at 1.25x current)	Rs 1,513	40%
Discounted cash flow	Base FCF (avg of last 3 yrs): Rs 33,875 cr FCF / net profit (same years): 1.13x Growth yrs 1-5 (fades to terminal by yr 10): 3.4% Terminal growth: 5.0% WACC: 12.3% Enterprise value: Rs 4,47,307 cr Less net debt: Rs (13,046) cr Terminal value share of EV: 50% Fair value today: Rs 1,137	Rs 1,230	30%
Street consensus	Analysts: 42 Mean target: Rs 1,200 Low / high target: Rs 990.0 / Rs 1,627 Consensus view: Buy	Rs 1,200	30%
Blended 12-month target		**Rs 1,334**	100%

- Re-rating capped: the history and peer anchor of 22.8x is more than 1.25x the current 15.2x, so 18.9x is used.

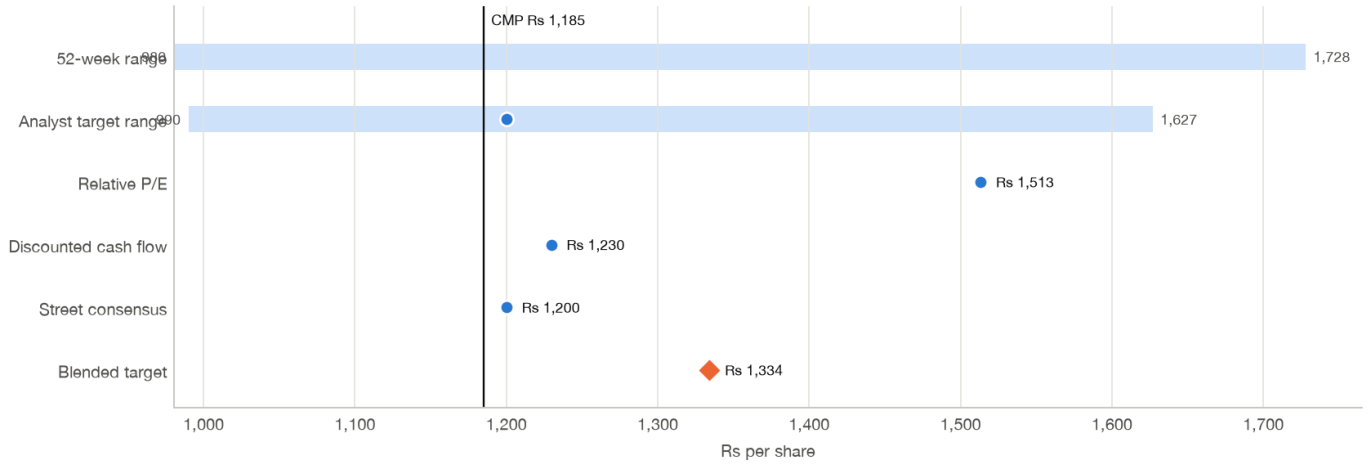
Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 12: Scenario analysis (relative method)

Case	Forward EPS (Rs)	P/E	Value (Rs)	vs CMP	Assumption
Bear	67.9	12.1x	Rs 823.2	(30.5)%	earnings 15% below base; multiple 20% below the lower of current and target
Base	79.9	18.9x	Rs 1,513	+27.7%	forward earnings and target multiple as used in the relative method
Bull	87.9	21.8x	Rs 1,914	+61.5%	earnings 10% above base; multiple 15% above target

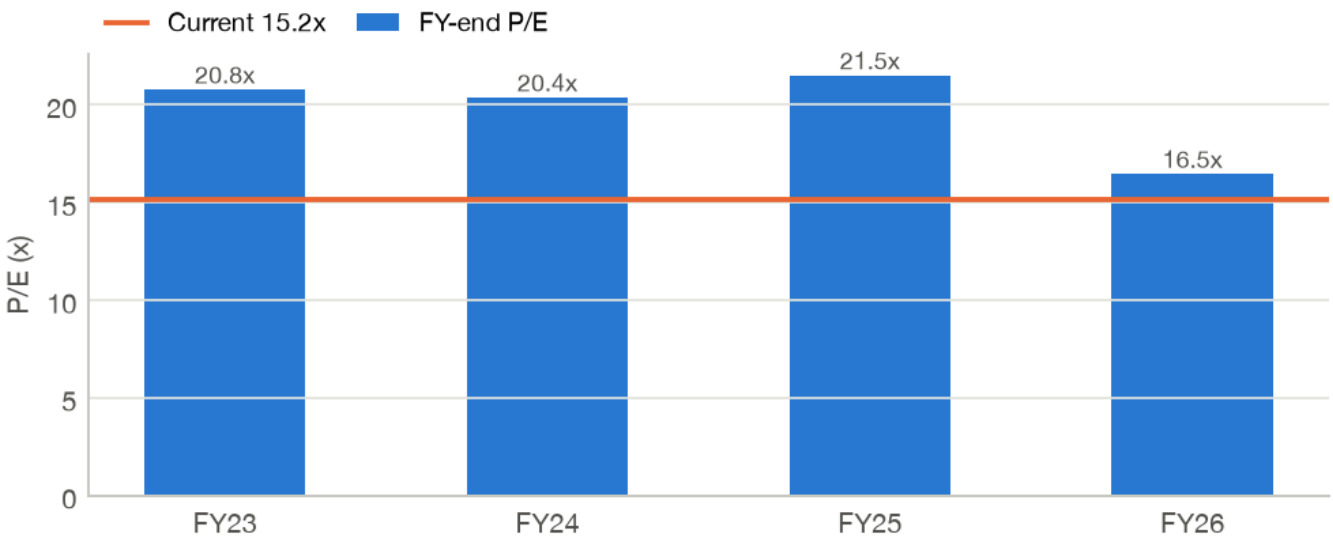
Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 13: Valuation football field (Rs per share)



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 14: FY-end P/E history vs current



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 15: Current multiples vs history and peers

Multiple	Current	Own median	Peer median
P/E (trailing, excl. one-offs)	15.2x	20.6x	25.0x
P/B	4.93x	6.02x	5.25x
EV / EBITDA	9.9x	-	-
PEG (forward growth)	7.01x	-	-
Free cash flow yield (%)	7.4	-	-

Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 16: Cost of capital assumptions

Assumption	Value
Risk-free rate (India 10-yr G-Sec)	6.5%
Equity risk premium	7.0%
Raw beta (1-yr daily vs Nifty 50)	0.77
Adjusted beta (0.67 x raw + 0.33, bounded 0.7 to 1.5)	0.84
Cost of equity	12.4%
Post-tax cost of debt	6.7%
WACC (floor 10%)	12.3%
Terminal growth	5.0%

Source: Bharat Stock Analyser

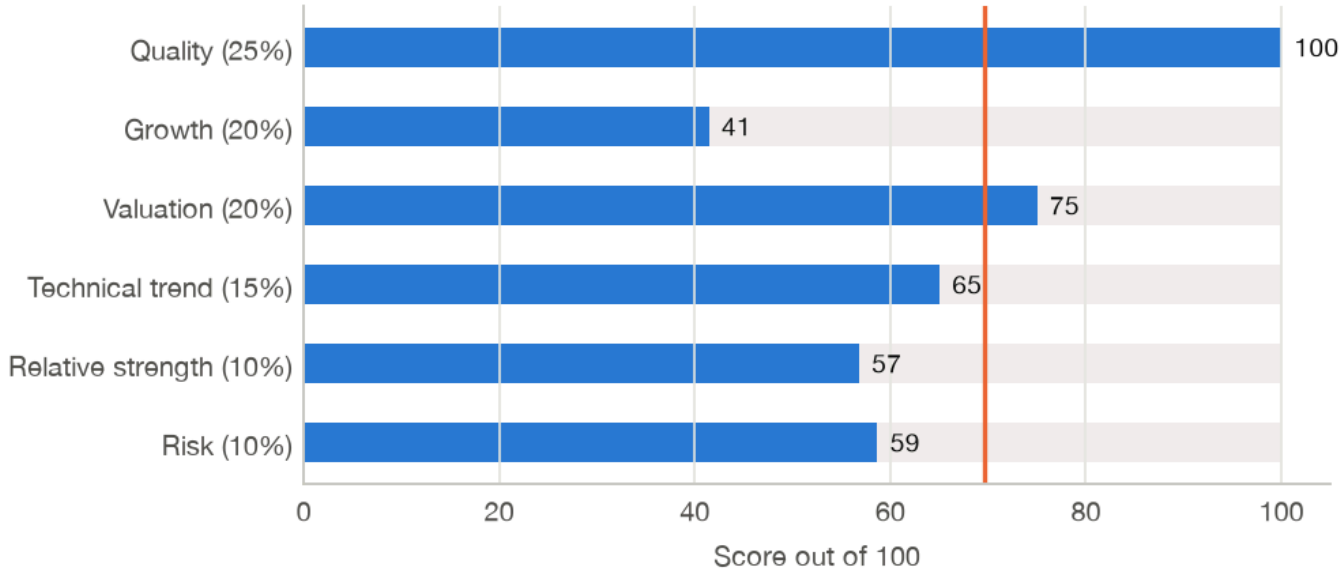
Scorecard

Exhibit 17: Six-pillar scorecard (0 to 100)

Pillar and metric	Value	Score
Quality (25%)		**100**
Return on equity	31.6%	100
Return on capital employed	41.7%	100
Net debt to equity	(0.14)x	100
Interest cover (EBIT / interest)	96.9x	100
Cash conversion (CFO / PAT, 3-yr avg)	1.20x	100
Growth (20%)		**41**
Revenue CAGR (3 yrs)	3.4%	23
EPS CAGR excl. one-offs (3 yrs)	3.4%	34
Latest quarter revenue YoY (Q2FY27 vs Q2FY26)	10.7%	63
Latest quarter PAT YoY excl. one-offs (Q2FY27 vs Q2FY26)	6.2%	46
Valuation (20%)		**75**
P/E vs own FY-end median	0.74x	100
P/E vs peer median	0.61x	100
PEG ratio (forward growth)	7.01x	0
Free cash flow yield	7.4%	100
Technical trend (15%)		**65**
Price vs 200-DMA	(2.5)%	50
Price vs 50-DMA	+9.2%	100
50-DMA vs 200-DMA	(10.7)%	0
RSI (14)	64.4	100
MACD histogram	Positive	75
Relative strength (10%)		**57**
3-month return vs Nifty 50	+7.8%	76
6-month return vs Nifty 50	+6.4%	71
12-month return vs Nifty 50	(8.0)%	23
Risk (10%)		**59**
Annualised volatility (1 yr)	31.3%	58
Maximum drawdown (1 yr)	(40.4)%	25
Beta vs Nifty 50 (1 yr)	0.77	93
Composite score		**70**

Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 18: Pillar scores against the composite



Source: Yahoo Finance; Bharat Stock Analyser

> Each metric is scored on a straight line between a weak value (0) and a strong value (100). Pillar scores average their metrics; the composite weights the pillars as shown. Thresholds are listed in the methodology section.

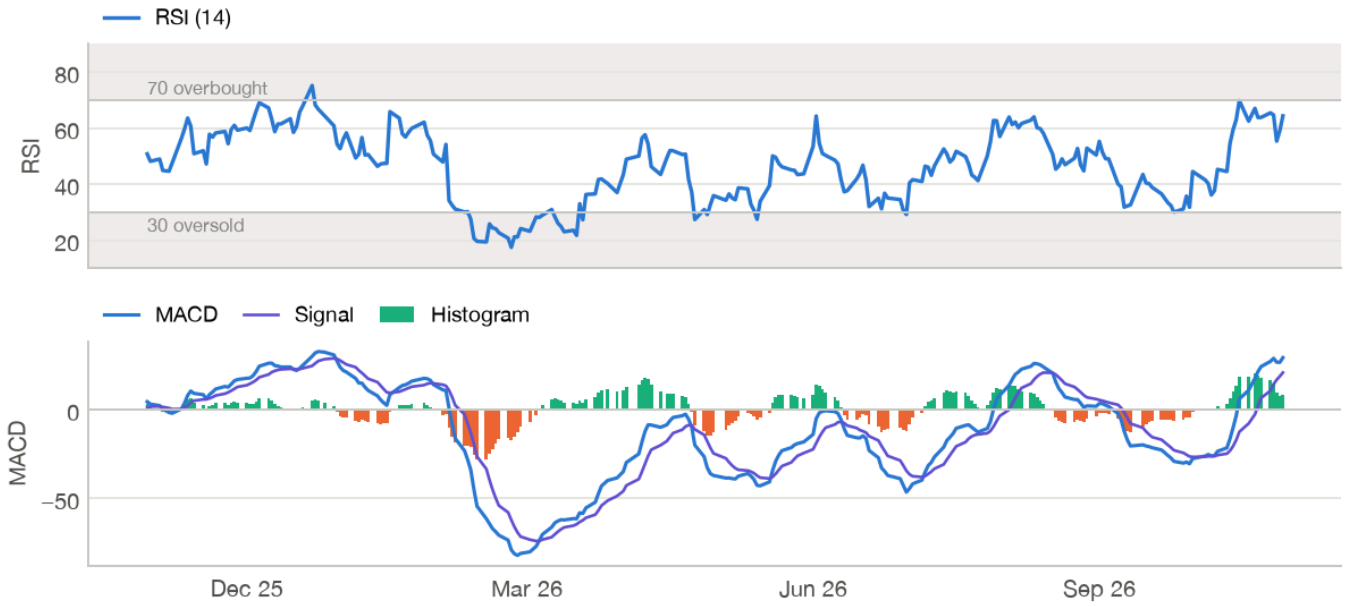
Technical view

Exhibit 19: Technical dashboard

Indicator	Value	Reading	Signal
50-day moving average	1,085.28	Price above by 9.2%	Bullish
200-day moving average	1,215.05	Price below by 2.5%	Bearish
50-DMA vs 200-DMA	(129.77)	50-DMA below 200-DMA (downtrend structure)	Bearish
RSI (14)	64.36	Positive momentum	Bullish
MACD (12,26,9)	29.35	MACD above signal line	Bullish
Bollinger band position	83.86	84% of the band width	Neutral
Distance from 52-week high	(31.42)	-31.4% from the high	Bearish
Volume vs 3-month average	1.14	1.14 times the average	Neutral

Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 20: RSI (14) and MACD (12, 26, 9), 12 months



Source: Yahoo Finance; Bharat Stock Analyser

Exhibit 21: Key levels and risk measures

Measure	Level
Resistance	Rs 1,188, Rs 1,207
Support	Rs 1,154, Rs 1,112
Average true range (14)	Rs 41.92 (3.5% of price)
Annualised volatility (1 yr)	31.3%
Maximum drawdown (1 yr)	(40.4)%

Source: Yahoo Finance; Bharat Stock Analyser

Peer comparison: IT Services

Exhibit 22: Peer valuation and returns

Company	Mcap (Rs cr)	Price	P/E (x)	P/B (x)	ROE (%)	Op. margin (%)	Div. yield (%)	1-yr return (%)
INFY Infosys Limited	4,79,970	Rs 1,185	15.8	4.93	30.0	21.0	4.39	(19.0)
TCS Tata Consultancy Services Limited	9,05,463	Rs 2,503	17.5	7.61	45.6	24.0	1.92	(14.0)
HCLTECH HCL Technologies Limited	3,86,533	Rs 1,428	21.1	5.16	24.6	18.2	3.36	(3.6)
WIPRO Wipro Limited	1,96,203	Rs 198.3	15.6	2.47	15.9	16.2	4.03	(14.9)
TECHM Tech Mahindra Limited	1,75,535	Rs 1,791	28.8	5.35	19.2	14.8	2.85	29.2
PERSISTENT Persistent Systems Limited	99,768	Rs 6,048	52.9	11.11	22.9	11.0	0.60	2.2
COFORGE Coforge Limited	90,606	Rs 2,045	40.1	4.05	13.3	16.0	0.78	13.9
Peer median	-	-	**25.0**	**5.25**	**21.1**	-	-	**(0.7)**

Source: Yahoo Finance; Bharat Stock Analyser

News flow and sources

RECENT HEADLINES (DATA FEED)

- 30-Oct-2026 MT Newswires: Asian Equities Traded in the US as American Depositary Receipts Fall Sharply in Friday Trading
- 29-Oct-2026 TIKR: Cognizant Sinks as Bookings Drop 7% and AI Shifts "From Capability to Value Realization"
- 29-Oct-2026 PR Newswire: Winners of Qorus-Infosys Finacle Banking Innovation Awards 2026 Announced
- 29-Oct-2026 CNW Group: Winners of Qorus-Infosys Finacle Banking Innovation Awards 2026 Announced
- 28-Oct-2026 PR Newswire: Canada's UNI Financial Cooperation Advances Branch Modernization with Infosys Finacle Universal Banker
- 28-Oct-2026 CNW Group: Canada's UNI Financial Cooperation Advances Branch Modernization with Infosys Finacle Universal Banker
- 27-Oct-2026 PR Newswire: Infosys Successfully Delivers Syngenta's Global SAP S/4HANA Transformation for Crop Protection Business
- 27-Oct-2026 Simply Wall St.: Truist Financial (TFC) Expands Hyderabad AI Hub As India Team Tops 1,000

EXCHANGE FILINGS USED BY THE MODEL

- 23-Oct-2026 NSE results filing, Q2FY27 (consolidated)
- 23-Jul-2026 NSE results filing, Q1FY27 (consolidated)
- 23-Apr-2026 NSE results filing, Q4FY26 (consolidated)
- 14-Jan-2026 NSE results filing, Q3FY26 (consolidated)
- 16-Oct-2025 NSE results filing, Q2FY26 (consolidated)
- 23-Jul-2025 NSE results filing, Q1FY26 (consolidated)
- 20-Oct-2026 NSE shareholding pattern, 30-Sep-2026

Methodology and rating key

▲ BUY: upside 15% or more | ◆ HOLD: -5% to 15% | ▼ SELL: below -5% | Provisional: never BUY

- **Earnings basis.** EBITDA excludes other income and unusual items. Net profit is profit attributable to owners. One-off items are the source's unusual items plus any spike in other income (more than three times the median of the other periods, with the excess at least 10% of profit before tax); they are removed after tax at the period's effective rate for EPS, P/E history, growth scores and the target. This is an estimate; company-defined adjusted figures can differ. Quarterly comparisons are matched by period end date. Trailing EPS uses four consecutive quarters, or the latest full year when a quarter is missing.
- **Target price.** Weighted blend of a relative multiple (40%), an intrinsic method (30%: free cash flow DCF for non-financials, justified P/B for lenders) and the street consensus mean (30%). A method more than 2.5x or less than 0.4x the current price is excluded as an outlier; weights are renormalised. The blended target is capped at 1.15x the highest analyst target.
- **Relative multiple.** Forward EPS (consensus where it is between 0.5x and 1.4x of trailing EPS; capped at 1.4x trailing when consensus expects a sharper rebound, because a historical P/E applied to recovery earnings double counts the recovery; otherwise trailing EPS grown at the 3-year EPS CAGR bounded to -10% and 20%) times the median of the company's FY-end P/E history and the peer median P/E, bounded to 5x and 80x and capped at 1.25x the current P/E, so that no more than a 25% re-rating is assumed within 12 months. Lenders use forward book value and P/B with the same cap. Scenarios: bear case earnings 15% lower at 0.8x the lower of current and target multiple; bull case earnings 10% higher at 1.15x the target multiple.
- **DCF.** Base free cash flow is the average of the last three years. Growth for years 1 to 5 equals the revenue CAGR bounded to 3% and 15%, fading to terminal growth by year 10. The present value is rolled forward 12 months at the cost of equity less the dividend yield. An excluded method that lies on the other side of the current price from the target lowers conviction to Low.
- **Gates.** A BUY with composite score under 50 is cut to HOLD. A HOLD with score under 35 and upside under 5% becomes SELL. The rating is provisional, cannot be BUY and has Low conviction when only one valuation method is usable, a download the rating depends on failed, quarterly results are past their SEBI LODR deadline (45 days; 60 for the March quarter) but missing from the data, or research found newer results or a data conflict. Otherwise conviction reflects the score and the spread between methods.
- **Scorecard thresholds (0 to 100).** ROE 5% to 22% (lenders 8% to 18%); ROCE 6% to 25%; net debt to equity 1.5x to 0x; interest cover 1.5x to 10x; CFO to PAT 0.5x to 1.1x; revenue CAGR 0% to 15%; EPS CAGR -5% to 20%; P/E vs own median 1.4x to 0.8x; PEG on forward growth 3 to 1; free cash flow yield 0% to 5%; price vs 200-DMA -15% to +10%; relative return vs Nifty -15% to +15%; volatility 50% to 18%; drawdown -50% to -12%; beta 1.6 to 0.7. Upside to the model's own target is not scored.
- **Data.** Prices, annual statements, consensus and peer data from Yahoo Finance via the open-source yfinance library, fetched 01-Nov-2026 18:51 IST. Quarterly results, results board meeting dates and the shareholding pattern come from NSE filings (XBRL) where available; a filed quarter replaces Yahoo's figure for the same quarter, and differences above 2% (revenue) or 5% (profit) are listed in the data notes. If the exchange cannot be reached, the report uses Yahoo alone and says so. Figures are consolidated where the company reports them. Rs crore = Rs 10 million.
- **Freshness.** Results filed with the exchange, or considered at a results board meeting, for a quarter that is not in the model data make the rating provisional. A board meeting followed by a later meeting for the same quarter is treated as rescheduled.

DATA NOTES FOR THIS REPORT

- Financial statements are reported in USD; converted at 94.95 INR per USD.

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